

The Investment Decision

Investors should attempt to determine the stage of the economic cycle the country is in. They should invest at the end of a depression when the economy begins to recover, and at the end of a recession. Investors should disinvest either just before or during the boom, or, at the worst, just after the boom. Investment and disinvestment made at these times will earn the investor the greatest benefits.

It must however be noted that there is no rule or law that states that a recession would last a certain number of years, or that a boom would be for a definite period of time. Hence the length of previous cycles should not be used as a measure to forecast the length of an existing cycle. An investor should also be aware that government policy or other events can reverse a stage and it is therefore imperative that investors analyze the impact of government and political decisions on the economy before making the final investment decision. Joseph Schumpeter once said, "Cycles are not, like tonsils, separable things that might be treated by themselves but are, like the beat of the heart, of the essence of organism that displays them."